

Madison Resources: Who They Are & Their Business Model

A funding and back-office provider for staffing agencies in the US, acting as the financial and operational backbone for the industry.

Company Type

Madison Resources is a funding and back-office provider for staffing agencies in the US.

They act as the financial and operational backbone, letting staffing agencies focus on placements whilst Madison manages payroll, invoicing, and funding.

Core Offerings

Payroll Processing Ensure staffing agency workers get paid on time.	Invoicing Generate invoices on behalf of staffing agencies for their end-clients.	Funding/Factoring Provide same-week cash by purchasing invoices from staffing agencies (i.e., Madison takes over the receivable).
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Risk Model

By buying invoices upfront, Madison takes on Accounts Receivable risk.

If invoices are wrong or timecards don't back them up, Madison risks delayed payments, client disputes, and chargebacks.

This means their business viability depends on flawless invoice-to-timecard validation.

Scale

3,600	10,000	11
Invoices per week ~150,000 invoices annually	Paychecks processed weekly	Billing specialists Manually validating invoices

📌 **Summary:** Madison = financial + operational safety net for staffing agencies, but their weakest link is manual invoice validation at scale.

The Pain Point: Where Manual Work Is Breaking Down

Validation Workflow Today

Timecards arrive via multiple channels:

- Email attachments
- VMS (Vendor Management Systems) like Fieldglass, Beeline
- Excel exports
- Portals or shared folders

Madison's billing specialists manually cross-check invoices against timecards.

If mismatches exist (e.g., hours don't line up), they log issues → send billing reports back to agencies → invoice held until fixed.

Once validated, invoice + timecard are attached together → sent to client → archived on local network drives.

Challenges

High Volume + Variability

150k invoices × multi-format timecards = chaotic.

No standard template; each staffing agency and end-client has unique formats.

Delays

Manual matching slows down invoice release → cashflow → funding.

Risk Exposure

Incorrect invoices = payment delays, chargebacks, and credibility loss.

Scaling Costs

The only way to handle more volume today = hire more billers.

No Traceability

No standardised validation checklist.

Decisions are judgement-based, undocumented, and inconsistent.

Impact

- Delayed invoice processing affects Madison's cash cycle.
- Errors lead to manual dispute resolution.
- Scaling is linear and expensive.

Docsumo's Solution: End-to-End Invoice Timecard Validation

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Ingestion

Options for capturing documents:

- API connectors to Madison's internal systems.
- Email auto-forwarding → central mailbox → Docsumo ingest.
- Watched folders (Google Drive, SharePoint, S3, network drives).
- Direct uploads into Docsumo portal.

AI Auto-Classifier: Splits invoices and timecards from mixed files, removing manual sorting.

02

Extraction

Extracts structured data from invoices & timecards:

Employee Name, Week Ending, Hours (Reg/OT), Rates, Invoice #, Customer Name, Approver Signature.

Two-way mapping: click on extracted value → highlights source in document.

Continuous learning: any manual correction improves accuracy moving forward.

03

Validation Engine

Core Differentiator

Each Case = 1 Invoice + Associated Timecards (up to 100 pages).

Automated checks:

- Hours match between invoice & timecard.
- 40 hrs flagged for review.
- Customer name present.
- Signature/approver present.
- Custom client-specific rules (e.g., only weekday hours allowed).

Outcome: Pass / Fail / Needs Review with reason codes.

04

Case Management Workflow

- Each validation is a case with status tracking.
- Reviewers can see mismatches instantly.
- User-level access: billers see only their clients.
- Integrations: validated output flows back into Madison's systems (CSV, Box, Bullhorn, ATS, ERP).

Why This Problem Is Critical



Cashflow Sensitivity

Madison advances money to agencies weekly.

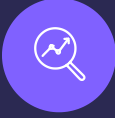
Delayed/incorrect invoices = Madison's capital is locked, risk increases.



Compliance & Risk

Timecards = proof of work. Without them, Madison risks paying for non-existent hours.

Fraudulent or mismatched invoices → financial and reputational damage.



Scalability Bottleneck

Hiring more billing staff = increased OPEX.

Manual validation = not sustainable as Madison scales.



Opportunity for Automation

Invoice timecard matching is rule-based + repetitive.

Perfect fit for IDP

Opportunity Beyond Madison: Repeatable Market

Why this use case is not unique:

Every staffing agency, payroll processor, and invoice factoring/funding company faces this exact problem.

Industries/Targets

- **Staffing Agencies** – High-volume timesheet to invoice validation.
- **Payroll Processing Vendors** – Need to validate hours before billing.
- **Invoice Factoring & AR Financing Firms** – Must validate invoices before funding.
- **Temp Staffing + BPOs** – Hourly workforce billing validation at scale.

Common denominators across market

Multi-format timecards & invoices.	Requirement for proof-of-work validation.	Manual validation = high cost + risk.
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Go-to-Market Opportunity

Build "Invoice - Timesheet Validation" as a product module:

- Pre-built templates for invoices + timesheets.
- Plug-and-play validations (hours, approvals, signatures).
- VMS/ATS integrations (Fieldglass, Beeline, Bullhorn).

Use Madison as flagship case study → replicate across staffing finance ecosystem.